

LIC's share sale that has brought them some money." The other area, according to Chhibber, is to find a way to rationalise the subsidies that the government gives, such as on fertilisers and food.

Some of that intent was seen in December 2022, when the government decided to end the Pradhan Mantri Garib Kalyan Anna Yojana (PMGKAY) scheme, and instead made PDS (public distribution system), or the ration system used largely by rural people and the poor, totally free. Experts say this

through savings of ministries or enhanced receipts. As result, the budgeted subsidy for FY23 of ₹3.18 lakh crore—of which ₹2.07 lakh crore is for food—is likely to shoot up big-time, perhaps even double.

An objective to reduce subsidies might seem counter-productive, when the rural markets are yet to economically recover from Covid-19 and other challenges. But Nadir Godrej says to bring back growth in rural India, it's time to start reducing subsidies and have cash transfers. "The fertiliser sub-

ship scheme Pradhan Mantri Awas Yojana (Gramin) received ₹48,000 crore in allocations—₹20,000 crore in Budget 2022-23 and then ₹28,000 crore through supplementary demand for grants. Under this scheme, 29.1 million *pucca* houses were to be built in rural areas with basic facilities such as toilets and electricity connections by March 2024. Of this target, more than 21 million houses have been constructed, and about 8 million remain as of December 2022. There is certainly a case for this to see more allocations in Budget 2023-24 to meet the final target.

Housing in urban areas, too, can generate substantial employment. "The government understands that what agriculture is to the rural economy, real estate is to the urban economy in terms of employment and the indirect impact to 227 industries like steel, cement, etc.," says Dhaval Ajmera, Director of mid-sized Mumbai-based realtor, Ajmera Realty, pointing out that there is a need to cut the 6 per cent stamp duty on property registration to 3 per cent. "We have seen in the past that at 3 per cent, the government's revenues are not impacted. You may be at par in terms of revenue earned, but a lot of assets will be generated, flats will get sold, you will start getting an annuity income in terms of property tax, etc." Several other sectors are also hoping for a range of incentives. Turn the page to the next article, where BT has brought you a bird's-eye view of the expectations of a variety of industries, and read about them.

As we all wait for the Finance Minister to rise to speak on February 1, one can hope that her speech, and Budget document, will have enough to help retain India's tag of the world's fastest-growing major economy. **BT**

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not only reduced the subsidy that the PMGKAY was continuing to draw, but was also a strong show of intent on the welfare front, an expected thrust with elections looming in 2024.

The overall subsidies in FY23—including for food, fuel and fertilisers—have shot up significantly because of inflation. In fact, he government recently had to take approval from Parliament for gross additional expenditure of ₹4.36 lakh crore—towards various subsidies including for food and fertilisers, and the key rural job scheme, the Mahatma Gandhi National Rural Employment Guarantee Scheme or MGNREGA—of which more than ₹3.25 lakh crore would be cash outgo, and the rest would be funded

sidy is far too high now and there are new technologies coming—like nano urea, coated urea... perhaps we should only subsidise the newer technologies which require less consumption, so the burden on subsidies will be less and it will be more sustainable products." Pointing out that both the kharif and rabi crops have been good this year, Godrej is hopeful of rural demand improving this year.

Finally, jobs are going to be critical for any government in an election year. While India's biggest employer—agriculture—will undoubtedly be supported, the other big employment generator, real estate, is also expected to get a further push, especially in rural India. Last fiscal, the government's flag-